

10:00 a.m. CALENDAR

MATTER OF PRESTON

20PR8275

SUCCESSOR ADMINISTRATOR'S MOTION FOR EXTRAORDINARY ATTORNEY'S FEES

Now before the Court is a Petition for Extraordinary Fees brought by Chad Preston ("Petitioner") as Successor Administrator of the Estate of Gregg Hall Preston ("Estate.") Petitioner seeks an order approving extraordinary compensation as follows: 1) \$148,701.22 for attorney's fees, and 2) \$1,150.25 in travel fees related to Petitioner attending trial.

There is no opposition on file.

I. Legal Standard

Probate Code section 10811 authorizes the court, in its discretion, to allow compensation to the attorney for the personal representative for extraordinary services, in addition to the statutory compensation provided by section 10810, in an amount the court determines is just and reasonable. (Prob. Code, § 10811, subd. (a).) A parallel provision, section 10801, governs extraordinary compensation to the personal representative. The award of extraordinary compensation rests within the sound discretion of the trial court. (*Est. of Gilikson* (1998) 65 Cal.App.4th 1443, 1448; California Rules of Court rule 7.703(a).)

California Rule of Court rule 7.303(b) sets forth a nonexclusive list of activities for which extraordinary compensation may be awarded to the attorney for the personal representative. These include "litigation undertaken to benefit the estate or to protect its interests" (subd.(b)(3)), "extraordinary efforts to locate estate assets" (subd. (b) (8)), and "coordination of ancillary administration" (subd (b)(10).)

Pursuant to California Rule of Court rule 7.702, a petition for extraordinary compensation must include, or be accompanied by, a statement of the facts which must:

- (1) Show the nature and difficulty of the tasks performed;
- (2) Show the results achieved;

- (3) Show the benefit of the services to the estate;
- (4) Specify the amount requested for each category of service performed;
- (5) State the hourly rate of each person who performed services and the hours spent by each of them;
- (6) Describe the services rendered in sufficient detail to demonstrate the productivity of the time spent; and
- (7) State the estimated amount of statutory compensation to be paid by the estate, if the petition is not part of a final account or report.

Pursuant to Probate Code section 10801, the Court “may allow additional compensation for extraordinary services by the personal representative in an amount the court determines is just and reasonable.”

II. Discussion

A. Attorney Fees

1. Nature and Difficulty of Tasks Performed

The court has reviewed the Petition and the supporting declaration of Carrie M. McKernan, Esq (“McKernan Decl.”) Ms. McKernan avers that her law firm of Giannelli, Friedman, Jeffries, & McKernan (“GEJM”) was hired by Petitioner to assist in removing the prior administrator of the estate, Scott Preston (“Scott”), and securing the appointment of Petitioner as the personal representative. (McKernan Decl. ¶ 1.) McKernan avers that her firm had to engage in significant litigation efforts, including but not limited to:

- Investigating the actions and omissions of Scott and his prior counsel, Ms. Schafer;
- Communications with Scott regarding delinquent status reports, with banks, financial institutions, and Petitioner regularly between October 2023 and July 31, 2026; with prior counsel Shafer including meet and confers, informal objections to accounting, issues with un-inventoried assets, and document requests;
- Preparing and attending hearing on the Petition to Remove Scott as PR;
- Attending nine (9) court hearings, including two in which Schafer failed to appear;

- Attending an additional four (4) court hearings after Petitioner was named personal representative, including motion to compel Schafer's deposition;
- Issuance of subpoenas to financial institutions and repeated discovery demands to Scott and Schafer (none of which were answered);
- Depositions of Scott and Schafer, the latter which required Petitioner to file a motion to compel and attend a hearing in this Court;
- Trial preparation work, including motions in limine and then attendance at trial (McKernan Decl. ¶¶5(a)-(u).)

Petitioner states that all of this significant extra work was necessitated because of Scott's failure to proceed with proper administration of the Estate, his absconding with Estate assets, and his failure to ensure the Estate was administered for the benefit of the beneficiaries. (McKernan Decl. ¶ 6.)

The Court finds that the nature and difficulty of legal services provided, largely necessitated by Scott's own behavior, are of the nature and type for which extraordinary compensation is allowed and reasonable.

2. Results Achieved/Benefit to the Estate

The significant extra work expended by GEJM benefited the Estate. Prior to Petitioner's appointment, Scott had failed to properly administer the Estate including failing to provide required status reports, failing to properly inventory the Estate assets, and failing to pay taxes and other obligations of the estate. By removing Scott and obtaining an order appointing Petitioner as personal representative, GEJM was able to benefit the Estate. Petitioner was able to locate missing assets, identify misappropriate funds, and ascertain missing tax returns (and eventually pay that liability). All told, GEJM was able to ascertain that Scott damaged the Estate in the amount of \$450,000. Through their work and Petitioner's proper administration, proper accounting of the Estate was made, taxes paid, and the Estate was prevented from going insolvent. (McKernan Decl. ¶ 22.)

The Court finds that the services provided by GEJM benefited the Estate.

3. Relationship to Statutory Compensation

Probate Code 10810 sets forth the statutory compensation schemes for attorneys representing personal representatives, which is based on the value of the Estate. These fees are guaranteed by statute and encompass the type of legal services typically rendered for estate administration. The Court believes that the requested extraordinary fees are reasonable and additive to, and not duplicative of, the services compensated by the statutory fee.

B. Additional Compensation for Petitioner (Travel Costs)

Petitioner also seeks travel costs related to having to travel from Vermont to the trial in this matter. Inexplicably, Scott failed to appear at the trial.

The Court finds that under the circumstances, travel costs are reasonable and awards \$1,150.25 to Petitioner.

III. Conclusion

The Petition is **GRANTED**. The Court finds that the services described in the petition were extraordinary services within the meaning of Probate Code sections 10811, 10801, and California Rules of Court, rule 7.703.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiff to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.